

**Before the
FEDERAL MARITIME COMMISSION**

DOCKET NO. 24-16

SAMSUNG ELECTRONICS AMERICA, INC.

v.

ORIENT OVERSEAS CONTAINER LINE LTD AND OOCL (EUROPE) LTD.

VERIFIED ANSWER

Respondents Orient Overseas Container Line Ltd. and OOCL (Europe) Ltd. (referred to collectively as “OOCL” or “Respondents”¹) hereby answer the Complaint of Samsung Electronics America, Inc. (“SEA” or “Complainant”) and include a counterclaim against SEA.²

RESPONSES TO NUMBERED ALLEGATIONS

1. Complainant SEA is a corporation organized and existing under the laws of the State of New York, with a principal place of business at 85 Challenger Road, Ridgefield Park, New Jersey, 07660-2118.

ANSWER: Respondents lack information sufficient to admit or deny the allegations of Allegation 1.

2. Upon information and belief, Respondent Orient Overseas Container Line Limited is a company existing under the laws of Hong Kong with its principal place of business located at 25 Harbour Road, 31st Floor Harbour Centre, Wanchai, Hong Kong. Orient Overseas Container Line Limited is an ocean common carrier as defined under 46 U.S.C. § 40102 (7) and (18) and is a controlled carrier as defined under 46 U.S.C. § 40102 (9) with the organization number 011398. As a controlled carrier of the People’s Republic of China since August 16, 2018, Respondent is subject to special or enhanced oversight by the Federal Maritime Commission.

¹ Where the Answer refers to a specific Respondent, the full name of that entity will be used.

² For information, a separate Third-Party Complaint by Respondents against Samsung Electronics Company, Ltd. is being concurrently filed before the Federal Maritime Commission.

ANSWER: Respondents admit the allegations of Allegation 2 that Orient Overseas Container Line Limited is an “ocean common carrier” as defined by the Shipping Act and FMC regulations and that it is subject to regulation by the FMC, that it has a corporate headquarters at the address listed. Respondents deny that Orient Overseas Container Line Limited is subject to special or enhanced oversight by the Federal Maritime Commission beyond that to which all controlled carriers are subject.

3. Upon information and belief, Respondent OOCL (Europe) Limited is a company existing under the laws of the United Kingdom with its principal place of business located at OOCL House, Levington Park, Bridge Road, Levington Suffolk, IP10 0NE, United Kingdom. Respondent OOCL (Europe) Limited is an ocean common carrier as defined under 46 U.S.C. § 40102 (7) and (18) and is a controlled carrier as defined under 46 U.S.C. § 40102 (9) with the organization number 024786. As a controlled carrier of the People’s Republic of China since August 16, 2018, Respondent is subject to special or enhanced oversight by the Federal Maritime Commission.

ANSWER: Respondents admit the allegations of Allegation 3 that Respondent OOCL (Europe) Limited is an “ocean common carrier” as defined by the Shipping Act and FMC regulations and that it is subject to regulation by the FMC, that it has a corporate headquarters at the address listed. Respondents deny that OOCL (Europe) Limited is subject to special or enhanced oversight by the Federal Maritime Commission beyond that to which all controlled carriers are subject.

4. Upon information and belief, “Orient Overseas Container Line” and “OOCL” are trade names for transportation provided separately by Orient Overseas Container Line Limited and OOCL (Europe) Limited, with both entities being wholly-owned subsidiaries of Orient Overseas (International) Limited (“OOIL”), a public company listed on the Hong Kong Stock Exchange.

ANSWER: Admitted.

5. Upon information and belief, OOCL (USA) Inc. is a company existing under the laws of the State of New York with its principal place of business located at 10913 South River Front Parkway, Suite 200, South Jordan, UT 84095, and acts as the agent in the United States for both Respondents.

ANSWER: Respondents admit the allegations of Allegation 5, except that OOCL (USA) Inc. is a general agent for Respondents, not necessarily “the agent.”

6. Upon information and belief, Respondents Orient Overseas Container Line Limited and OOCL (Europe) Limited acted jointly in the conduct alleged herein with respect to

Complainant and therefore are referred to herein collectively as “OOCL” or “Respondents.”

ANSWER: Respondents admit the allegations of Allegation 6 only to the extent that they admit specific conduct alleged in this Complaint. Otherwise denied.

7. Upon information and belief, OOCL is one of the world's largest integrated international container transportation and logistics companies, with approximately 130 offices in more than 100 major cities and provides customers with logistics and containerized transportation services and is thus accordingly subject to regulation by the Federal Maritime Commission (the “FMC” or “Commission”).

ANSWER: Respondents lack information sufficient to admit or deny Allegation 7, specifically that Respondents are (collectively) one of the world's largest integrated international container transportation and logistics companies, as the measure of size is not stated. Respondents admit that they have agents located in 103 countries but deny Allegation 7 to the extent “with offices” is vague and undefined. To the extent “major cities” is not defined, Respondents lack sufficient information to admit or deny. Specifically, Respondents deny any assertion that being an “integrated international container transportation and logistics compan[y]” makes an entity subject to regulation by the Federal Maritime Commission.

8. The FMC has subject-matter jurisdiction over this Complaint pursuant to the Shipping Act.

ANSWER: Respondents deny the allegations of Allegation 8 that the FMC has subject-matter jurisdiction over Count I of the Complaint but admit that the FMC has subject matter jurisdiction over the remaining counts.

9. This Complaint is being filed pursuant to 46 U.S.C. § 41301. SEA is seeking reparations for injuries caused to it by Respondent due to its violations of the Shipping Act.

ANSWER: Respondents state that the best evidence of what SEA seeks by the Complaint is the Complaint itself. Respondents specifically deny the allegation of Allegation 9 that they violated the Shipping Act or that SEA suffered any injuries caused by the acts or omissions of Respondents.

10. The FMC has personal jurisdiction over OOCL as a “common carrier” and a vessel-operating “ocean common carrier” as defined in 46 U.S.C. § 40102(7) and (18).

ANSWER: Respondents admit the allegation of Allegation 10 that the FMC has personal jurisdiction over Respondents Orient Overseas Container Line Limited and OOCL

(Europe) Limited but deny that the FMC has personal jurisdiction over any other entity that might be thought to fall within the rubric “OOCL.”

11. Respondents’ actions alleged herein consist of failures to establish, observe, and enforce just and reasonable practices related to receiving, handling, storing, and delivering the property of SEA, in violation of 46 U.S.C. § 41102(c) (unreasonable practices); 46 U.S.C. § 41104(a)(15) (invoicing without required information); 46 U.S.C. § 41104(a)(14) (unreasonable charges); and 46 U.S.C. § 41104(a)(10) (unreasonable refusal to deal or negotiate).

ANSWER: Respondents deny each of the allegations in Allegation 11.

12. SEA, a pioneering electronic products company incorporated in the United States in 1978, offers home appliances, phones, tablets, smartwatches, mobile accessories, mobile audio, televisions, monitors, and computer products to the American public.

ANSWER: Respondents lack adequate information to either admit or deny Complainant’s self-serving and wholly irrelevant Allegation 12.

13. The American public relies on SEA goods for its everyday personal and business needs.

ANSWER: Respondents lack adequate information to either admit or deny Complainant’s self-serving and wholly irrelevant Allegation 13.

14. SEA provides its consumer goods to the American public online through Samsung.com, through retailers like Best Buy, The Home Depot, and Lowe’s, and through distributors.

ANSWER: Respondents lack adequate information to either admit or deny Complainant’s wholly irrelevant Allegation 14.

15. SEA obtains the consumer goods it sells from various suppliers and locations. As the consignee of the goods produced and shipped to it by its suppliers, SEA has relied on transportation companies like OOCL to transport its goods from the manufacturer-shippers to various inland destinations throughout the United States.

ANSWER: Respondents lack adequate information to either admit or deny Allegation 15.

16. A material inducement to work with an experienced transportation company such as OOCL is its offering of a full range of services, including managing transportation arrangements from overseas to the final destination at SEA distribution centers and customers inland, such service otherwise known as inland transportation or “store door” delivery. Under store door terms, the ocean carrier issues a bill of lading or sea waybill indicating the marine port at which a container is discharged from a vessel and an inland “place of delivery” to which the ocean carrier undertakes to transport the container after the container is discharged from the vessel at the port.

ANSWER: Respondents deny the allegations of Allegation 16 regarding the meaning of “store door terms.” Respondents otherwise lack adequate information to either admit or deny the allegations of Allegation 16.

17. OOCL markets its full range of services to companies like SEA in personal meetings, at conferences, and publicly on its website. Regarding its inland transportation services, OOCL states on its website that all “means of intermodal transport are carefully integrated with trunk ocean services to offer seamless connections across continents using feeder services, barges, trucks and block trains.”
[<https://www.oocl.com/eng/ourservices/intermodal/Pages/default.aspx>]

OOCL further states that:

In the USA and Canada, rail dominates inter-modal transport. OOCL works in close partnership with all major rail service providers (BNSF, Norfolk Southern, CSX, Canadian Pacific, Canadian National, Union Pacific) providing one of the fastest and most reliable services into the heart of North America. Regular double-stack trains connect ports of the East and West coasts to major inland destinations and distribution centers. [Id.]

ANSWER: Respondents *deny* the allegation of Allegation 17 that OOCL markets its services to SEA but admit that they do market services to potential customers in a variety of ways. Respondents assert that the OOCL website itself is the best evidence of what it says.

18. As set forth in more detail below, SEA relied on OOCL for store door transportation of goods to the U.S. in ocean shipping containers but OOCL fell far short of its responsibilities and obligations.

ANSWER: Respondents specifically deny the allegations of Allegation 18 that SEA either used or relied upon OOCL for any form of transportation. OOCL did not provide transportation services to SEA, but rather to the separate Samsung entities that were the Shipper Party to the Service Contract between OOCL and such other entities or was named as the shipper in the bill of lading for individual shipments. Respondents also note that, upon information and belief, Samsung cargo moved on many ocean carriers other than OOCL, so to say that Samsung “relied” is an overstatement.

19. Beginning in approximately 2021, OOCL began repeatedly failing to properly perform its obligations for inland transportation to the inland destinations, exposing SEA to unreasonable costs, charges, delays, and other harms.

ANSWER: Respondents deny the allegations of Allegation 19.

20. Also beginning in 2021, OOCL instituted various unreasonable demurrage and detention practices against SEA in connection with the delivery of SEA goods shipped on store door terms under through bills of lading or sea waybills for inland delivery in the U.S., thereby

imposing on SEA various unreasonable costs, charges, delays, and other harms.

ANSWER: Respondents deny the allegations of Allegation 20.

21. As a result of OOCL's unreasonable practices, SEA has been forced to pay excessive and unlawful OOCL demurrage and detention charges totaling approximately \$12.55 million, and has been forced to undertake and perform the ocean carrier's inland transportation responsibilities to obtain delivery of the products shipped to SEA for sale to American consumers, incurring costs totaling approximately \$1.3 million.

ANSWER: Respondents deny the allegations of Allegation 21.

22. OOCL's unreasonable practices have caused SEA to also suffer lost revenue in an amount estimated to total approximately \$500,000.

ANSWER: Respondents deny the allegations of Allegation 22.

23. SEA is not the only victim of such exploitative behavior. Demurrage and detention charges and practices have risen so exponentially high that the Biden Administration highlighted the concern in a press release and fact sheet on February 28, 2022, titled "Lowering Prices and Leveling the Playing Field in Ocean Shipping."
[<https://www.whitehouse.gov/briefing-room/statements-releases/2022/02/28/fact-sheet-lowering-prices-and-leveling-the-playing-field-in-ocean-shipping/>]

ANSWER: Respondents deny the allegations of Allegation 23, except as to the allegation that a press release and fact sheet were issued on the date specified, which are the best evidence of what they say. Respondents deny the evidentiary value, legal relevance, or underlying accuracy of such document.

24. On March 1, 2022, President Biden highlighted escalating freight and demurrage and detention costs in his State of the Union address, noting that prices were raised "by as much as 1,000% ..." and as such, the President announced "a crackdown" on practices that result in "overcharging American businesses and consumers."
[<https://www.whitehouse.gov/briefing-room/speeches-remarks/2022/03/01/remarks-of-president-joe-biden-state-of-the-union-address-as-delivered/>]

ANSWER: Respondents deny the allegations of Allegation 24, except as to the allegation that the State of the Union address was given on that day and states that the transcript of the address is the best evidence of what was said. Respondents deny the evidentiary value, legal relevance, or underlying accuracy of such address.

25. Separately, the Commission has long raised concerns with a host of unjust and unreasonable demurrage and detention practices, and the FMC is advancing efforts to promote complaints and adjudicate wrongdoing, as the full scope of the unlawful

practices concerning demurrage and detention in the last two years becomes more fully known.

ANSWER: Respondents deny the allegations of Allegation 25 and state that it is outside the scope of the FMC's authority to promote complaints, just as it is outside the authority of the federal courts to promote the filing of complaints in such courts. It is likewise outside the scope of the FMC's authority to adjudicate "wrongdoing" generally.

26. Earlier last year, FMC chairman Dan Maffei is reported to have expressed significant concerns about unlawful practices, particularly in regard to cargo holds and credit holds exacerbating charges against shippers. In a March 8, 2023 article by Tomer Raanan in Lloyd's List, addressing the issue at the Journal of Commerce's recent TPM Conference, reporter Raanan observed:

"[m]any shippers complained that carriers levied these charges on them without providing any information related to them and left them with little ability to dispute them. Some have also complained that ocean carriers refused to give them their cargo unless they paid the charges, essentially holding the cargo hostage. 'The whole detention and demurrage system is very complicated. I think it took a long time for it to get to a situation where in my view, it wasn't performing its central aspect of keeping cargo moving,' [FMC chairman Dan] Maffei said. 'When it is used to pad the rates without looking like it's padding the rates, then it becomes a distortion of the market.'" [<https://lloydslist.maritimeintelligence.informa.com/LL1144193/US-shipping-reformchanged-what-FMC-is-all-about>]

ANSWER: Respondents deny the allegations of Allegation 26, except as to the allegation that the identified article was published on the on the day and in the journal specified, which article is the best evidence of what it says. Respondents deny the evidentiary value, legal relevance, or underlying accuracy of such article, which is of course hearsay.

27. As explained in further detail below, SEA has dealt with and continues to face manifestly unjust and unreasonable charges and practices in connection with inland transportation arrangements that are the responsibility of OOCL under its store door shipments. Like the other complainants in the multiple similar FMC complaint actions filed against OOCL, SEA suffered from OOCL's unreasonable detention and demurrage practices. The consistency in the allegations across the complaints (See *Bed Bath & Beyond Inc. v. Orient Overseas Container Line Limited and OOCL (Europe) Limited* (Dkt No. 23-02); *Impact Products, LLC and Safety Zone, LLC v. Orient Overseas Container Line Limited and OOCL (Europe) Limited* (Dkt No. 24-08)) highlights that OOCL's conduct with respect to the unreasonable imposition of detention and demurrage charges was part of a broader unreasonable practice and policy.

ANSWER: Respondents deny the allegations of Allegation 27 *in toto*, and specifically deny: (i) that the alleged inland transportation arrangements were the responsibility of OOCL, as

they were the responsibility of SEA, (ii) that SEA dealt with or continues to face unjust and unreasonable charges, noting as well that OOCL has no ongoing carrier-shipper relation with SEA or the other Samsung entities that actually ship cargo in the U.S.-foreign trades, and (iii) that unproven allegations (some adjudicated incorrect) in other cases have any have evidentiary value, legal relevance, or underlying accuracy.

28. Notwithstanding that OOCL is responsible for the inland transportation to the named place of delivery on the sea waybill under store door terms, OOCL has forced SEA to pay demurrage and detention charges that were not the responsibility of SEA by holding containers hostage and threatening to cut off further services.

ANSWER: Respondents deny the allegations of Allegation 28 *in toto*, and specifically deny that: (i) the inland transportation arrangements were the responsibility of OOCL, as they were the responsibility of SEA, (ii) that OOCL has forced SEA to pay anything, as it was purely a volunteer, (iii) that the charges were not the responsibility of SEA, and (iv) that OOCL held any containers hostage or threatened to cut off further services.

29. OOCL is legally responsible under store door terms as the common carrier for the cargo deliveries to the inland destination by all multi-modal methods, including rail, yet charged SEA for demurrage when OOCL failed to take the necessary steps to move the cargo from its yard and deliver the containers.

ANSWER: The allegations of Allegation 29 are legal conclusions to which no response is required. To the extent that an answer is required, Respondents deny the allegations of Allegation 29.

30. Reported challenges with inland transportation (such as chassis shortages, terminal congestion, and similar issues reported during the period of the COVID-19 pandemic), were not unexpected events; they were well-known conditions. Those challenges were known at the time OOCL made the vast majority of the bookings and arrangements with non-party rail interests and equipment providers.

ANSWER: Respondents deny the allegations of Allegation 30.

31. OOCL further abandoned its responsibility for inland transportation by obligating SEA to pay for rail storage charges when delays occurred; charges for which OOCL was responsible.

ANSWER: Respondents deny the allegations of Allegation 31.

32. The staggering costs of demurrage and detention charges are unsustainable, present a material threat to SEA's ability to provide its products to American consumers, and have made it necessary to bring this Complaint.

ANSWER: Respondents deny the allegations of Allegation 32.

33. As a result of OOCL's conduct, SEA has sustained serious and substantial injuries and monetary damages, including paying over 4,400 erroneous demurrage, detention and associated charges which continue to be tabulated and accrued as of the filing of this Complaint.

ANSWER: Respondents deny the allegations of Allegation 33.

34. SEA is the consignee of cargoes of home goods shipped to the U.S. in ocean shipping containers ("SEA Containers") by OOCL.

ANSWER: Respondents lack information sufficient to admit or deny the allegations of Allegation 34 except as may be addressed on an individual, shipment-by-shipment identification of the relevant bills of lading, as required by the Shipping Act. Respondents deny that any containers were "shipped" by OOCL or that there is such a thing as "SEA Containers."

35. OOCL transported SEA Containers under through bills of lading, or sea waybills, from the overseas locations through U.S. ports and on to designated U.S. inland locations (commonly known as "store door" terms).

ANSWER: Respondents deny that there were "SEA Containers" and otherwise lack knowledge sufficient to admit or deny the provisions of any of the unspecified contracts of carriage to which Allegation 35 appears to allude.

36. Under through bills of lading and sea waybills, OOCL is responsible as the common carrier for both: (1) the ocean carriage of the SEA Containers to a U.S. port, and (2) the inland carriage of the SEA Containers to the U.S. inland locations, generally SEA warehouses or directly to SEA customer locations.

ANSWER: The allegations of Allegation 36 are legal conclusions to which no response is required. To the extent that an answer is required, Respondents deny the allegations of Allegation 36.

37. The inland movement of containers under "store door" terms is commonly referred to as "carrier haulage" because the ocean carrier is responsible for the inland movement via rail and/or truck drayage to the named place of delivery and the provision of chassis to move the SEA Containers.

ANSWER: Respondents deny the allegations of Allegation 37.

38. In contrast to carrier haulage, under "CY" (container yard) or "port-to-port" terms, the inland movement of containers is commonly referred to as "merchant haulage" because the shipper or consignee is responsible for the inland movement from the port to the final inland destination.

ANSWER: Respondents deny the allegations of Allegation 38.

39. In store door shipments, OOCL is responsible for arranging and paying for the inland movements, and for ensuring the removal of containers from U.S. marine and intermodal terminals and the delivery of containers to the designated inland locations.

ANSWER: The allegations of Allegation 39 are legal conclusions to which no response is required. To the extent that an answer is required, Respondents deny the allegations of Allegation 39.

40. In store door shipments, costs and charges relating to delays in the timely removal of containers from terminals (generally known as “demurrage” charges) are the responsibility of the carrier, such as OOCL, and not the consignee, such as SEA.

ANSWER: The allegations of Allegation 40 are legal conclusions to which no response is required. To the extent that an answer is required, Respondents deny the allegations of Allegation 40.

41. In store door shipments, costs and charges relating to delays in the timely delivery of containers (and chassis) to the designated inland locations and ultimately the return of empty containers and equipment to OOCL’s possession or control at OOCL’s designated location (generally known as “detention” or “per diem” charges) are the responsibility of the carrier, OOCL, not the shipper or consignee, when the delays result from matters for which (1) OOCL is responsible (e.g., delays in equipment return caused by ocean carrier empty return restrictions or limitations); and/or (2) OOCL bears the responsibility for the underlying transportation delays (e.g., delays in equipment return caused by problems performing inland drayage services, such as subcontracting adequate trucking, and/or lack of availability of chassis the ocean carrier is responsible to provide).

ANSWER: The allegations of Allegation 41 are legal conclusions to which no response is required. To the extent that an answer is required, Respondents deny the allegations of Allegation 41.

42. Since 2020, OOCL has transported SEA Containers under “store door” terms to the U.S. from various overseas locations, through numerous U.S. ports, to U.S inland locations. Yet OOCL has invoiced and forced SEA to pay substantial amounts of demurrage and detention charges and other drayage-related charges in connection with shipments of SEA Containers for which OOCL was responsible to provide store door transportation.

ANSWER: Respondents admit in general the first sentence of Allegation 42, namely that Respondents transported containers of cargo as to which SEA was the consignee that originated in foreign countries and were destined for U.S. inland locations, but deny the qualifiers (including “through numerous ports”) and deny SEA’s definition of “store door terms.” Respondents deny the second sentence of Allegation 42.

43. During the relevant period of 2020-2022, OOCL began repeatedly and chronically failing to properly perform its inland transportation obligations, including failing to timely remove SEA Containers from U.S. marine and intermodal terminals and failing to timely deliver SEA Containers to their designated inland locations.

ANSWER: Respondents deny the allegations of Allegation 43 and denies that there are “SEA Containers.”

44. During that same period, OOCL began charging SEA dramatically increasing amounts for alleged demurrage and detention charges resulting from OOCL’s inland transportation failures.

ANSWER: Respondents deny the allegations of Allegation 44.

45. When asked to explain the reason for asserting the charges on SEA, OOCL has asserted that the use of a customer nominated trucker (“CNT”) somehow converts a “store door” move into a “container yard” move. OOCL has not provided any documentation or support for that novel assertion to date.

ANSWER: Respondents deny the allegations of Allegation 45.

46. When asked to mitigate, cancel, or waive charges for which SEA was not responsible on the basis that OOCL was responsible for such inland charges under store door terms, OOCL refused to mitigate, cancel, or waive the charges.

ANSWER: Respondents deny the allegations of Allegation 46. Respondents specifically deny that they were responsible, and that SEA was not responsible, for the charges, and further deny that Respondents refused to mitigate, cancel, or waive the charges.

47. OOCL has repeatedly demanded payment of disputed demurrage and detention charges and invoices and threatened various punitive actions against SEA if payments were not made, including refusing to release subject SEA Containers and threatening to refuse release of unrelated SEA Containers.

ANSWER: Respondents deny the allegations of Allegation 47.

48. OOCL has in fact refused release of SEA Containers moving under store door terms on the basis of allegedly outstanding demurrage and detention charges arising from the foregoing OOCL practices.

ANSWER: Respondents deny the allegations of Allegation 48.

49. In addition to charging SEA for inland transportation costs and charges never actually earned as a result of OOCL’s failures to perform under “store door” terms, OOCL’s billing practices and policies caused further injuries to SEA:
- a. OOCL’s invoices and demurrage letters routinely lacked adequate information to determine the basis for the individual demurrage and detention charges;

- b. Based on information and belief, OOCL assessed charges against SEA Containers without consideration of OOCL's responsibility (or SEA's absence of responsibility) for the circumstances resulting in such demurrage and detention charges;
- c. OOCL repeatedly rebilled SEA for charges previously billed, and for charges previously paid, based on information and belief, on OOCL failing to properly reconcile its invoices with payments received from SEA and others, including payment vendors;
- d. OOCL improperly and systematically required that SEA undertake initial payment responsibility for demurrage and/or detention charges as a condition to release cargo from intermodal terminals and without taking adequate steps to address increasing delays, costing SEA not only the direct costs of paying such charges, but also causing SEA to incur significant and substantial costs for employees and systems to undertake responsibility for OOCL's inland transportation obligations; and
- e. OOCL failed to have or engage in an adequate or meaningful dispute resolution process for demurrage and detention charges.

ANSWER: Respondents deny each of the allegations of Allegation 49.

- 50. OOCL's conduct also resulted in container processing and handling delays at SEA's warehouses and client delivery locations, as well as delays in container and equipment returns, resulting in further detention charges and injuries.

ANSWER: Respondents deny the allegations of Allegation 50.

- 51. Based on information and belief, as a result of OOCL's unjust and unreasonable practices and other unlawful conduct, SEA was repeatedly charged detention and/or per diem in connection with empty containers and chassis when OOCL failed to provide reasonable opportunity to return such equipment without incurring additional charges, including inadequate availability of return locations, and inadequate and/or inaccurate information concerning return locations.

ANSWER: Respondents deny the allegations of Allegation 51.

- 52. On October 7, 2022, SEA sent a Notice of Demand for Action letter ("Demand Letter") to OOCL regarding unreasonable and unlawful charges for demurrage, detention, handling, and/or storage, and other unreasonable and unlawful conduct. The Demand Letter requested reimbursement for SEA's damages of more than \$11 million in demurrage and detention charges and other damages in an amount which that had yet to be determined. The Demand Letter further invited OOCL to respond in a substantive manner and indicate its interest in discussing a cooperative resolution.

ANSWER: Respondents admit that such a letter was sent on such date but state that the best evidence of the contents of that letter is the letter itself. Respondents note that this Allegation violates the confidentiality of the settlement negotiations, so should be struck as improper in any event.

- 53. SEA and OOCL discussed their respective positions on numerous occasions in the past year and a half, but no progress towards a resolution was made.

ANSWER: Respondents deny the allegations of Allegation 53.

54. As a result of OOCL's wrongful conduct, SEA incurred serious and substantial injuries and monetary damages, including paying improper charges for demurrage and detention, with charges continuing to be tabulated and accrued as of the filing of this Complaint.

ANSWER: Respondents deny the allegations of Allegation 54 and specifically deny that any OOCL charges relating to anything continue to accrue.

55. Complainant repeats and realleges each and every allegation above as if fully set forth herein.

ANSWER: Respondents repeat and reallege each and every response to each Allegation above as if fully set forth herein.

56. Section 41102(c) prohibits a common carrier or marine terminal operator from failing to "establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property."

ANSWER: Allegation 56 constitutes an assertion of law as to which no answer is required. The text of 46 U.S.C. § 41102(c) is the best evidence of what that section provides.

57. Respondent OOCL is an ocean common carrier as defined by the Shipping Act.

ANSWER: Allegation 57 constitutes an assertion of law as to which no answer is required. The text of 46 U.S.C. § 41102(c) is the best evidence of what that section provides.

58. OOCL's foregoing practices and procedures relating to the assessment of demurrage and detention are directly related to receiving, handling, storing, or delivering SEA's property.

ANSWER: Respondents do not understand Allegation 58 as it does not specify the foregoing allegations to which it refers. Allegation 58 is also a conclusion of law to which no answer is necessary. To the extent that an answer is required, Respondents deny the allegations of Allegation 58.

59. OOCL's foregoing practices and procedures relating to the assessment of demurrage and detention have been occurring on a normal, customary, and continuous basis, involving since 2021 in excess of 4,400 individual demurrage, detention, and associated charges.

ANSWER: Respondents do not understand Allegation 59 as it does not specify the foregoing allegations to which it refers. Allegation 59 is also a conclusion of law to which no answer is necessary. To the extent that an answer is required, Respondents deny the allegations of Allegation 59.

60. OOCL's foregoing practices and procedures relating to the assessment of demurrage and detention are unjust and unreasonable in violation of § 41102(c).

ANSWER Respondents do not understand Allegation 60 as it does not specify the foregoing allegations to which it refers. Allegation 60 is also a conclusion of law to which no answer is necessary. To the extent that an answer is required, Respondents deny the allegations of Allegation 60.

61. OOCL's foregoing practices and procedures relating to the assessment of demurrage and detention are the proximate cause of SEA's claimed injury and damages.

ANSWER: Respondents do not understand Allegation 61 as it does not specify the foregoing allegations to which it refers. Allegation 61 is also a conclusion of law to which no answer is necessary. To the extent that an answer is required, Respondents deny the allegations of Allegation 61. Respondents specifically deny that SEA suffered any of the claimed injury and damages and that any actions by OOCL were the proximate cause of any alleged injuries.

62. The following practices and procedures relating to the assessment of demurrage and detention are specifically unjust and unreasonable in violation of 46 U.S.C. § 41102(c) and 46 C.F.R. §§ 545.4 and 545.5:

a. assessing demurrage and detention charges on SEA for costs and charges in the inland intermodal transportation of SEA Containers moving under store door terms for reasons that are not within SEA's control;

b. assessing demurrage and detention charges on SEA for costs and charges in the inland intermodal transportation of SEA Containers when OOCL is responsible for the pickup from the port, movement to the inland place of delivery, and return of the SEA Containers;

c. continuing to book new SEA Containers under store door terms without taking adequate steps to address increasing delays and costs incurred in securing timely intermodal movement of SEA Containers;

d. assessing demurrage and detention charges on SEA for costs and charges in the inland intermodal transportation of SEA Containers without a meaningful practice or procedure to first determine responsibility for such charges (under store door terms, or otherwise);

e. failing to provide SEA with adequately detailed billing information and/or invoices related to demurrage and detention charges that would permit SEA to meaningfully understand and/or contest the charges;

f. rebilling demurrage and detention charges already billed and/or already paid;

g. refusing to extend free time and/or mitigate, waive or reduce demurrage or detention charges that were not SEA's responsibility;

h. failing to have or employ an adequate dispute resolution policy or practice with regard to demurrage and detention charges;

i. threatening to withhold services and refusing to release of SEA Containers without payment of charges that were not SEA's responsibility;

j. assessing demurrage and detention charges on SEA as consignee for costs and charges of delays in the inland intermodal transportation of SEA Containers moving under store door

terms that serve no incentivizing principle and do not promote freight fluidity because SEA is not responsible for the inland portion of the transportation;

k. demanding/requiring that SEA undertake OOCL's responsibilities to release and/or move SEA Containers, including, but not limited to, requiring that SEA arrange for and directly pay marine terminals and other service providers for release of SEA Containers from intermodal terminals and for inland transportation of SEA Containers moving under through bills of lading;

l. assessing detention charges for equipment return delays that were OOCL's responsibility and for delays arising because OOCL did not provide adequate opportunity to return containers; and

m. refusing release of SEA Containers without payment of charges that were not SEA's responsibility.

ANSWER: Respondents deny the many allegations of Allegation 62 including each and every one of its multiple subparts. Allegation 62 is also a series of legal conclusions, to which no answer is necessary.

63. Complainant repeats and realleges each and every allegation above as if fully set forth herein.

ANSWER: Respondents repeat and reallege each and every response to each Allegation above as if fully set forth herein.

64. As amended by OSRA, 46 U.S.C. § 41104(a)(15) provides that a "common carrier, either alone or in conjunction with any other person, directly or indirectly, shall not--...invoice any party for demurrage and detention charges unless the invoice includes information as described in subsection (d) [referring to 46 U.S.C. § 41104(d)]."

ANSWER: Allegation 64 constitutes an assertion of law as to which no answer is required. The text of 46 U.S.C. § 41104(a)(15) is the best evidence of what that section provides.

65. Based upon information and belief, on numerous occasions through and to the date of this Complaint, OOCL sought to invoice and/or charge for demurrage and detention on and after the effective date of OSRA without including the information necessary to comply with 46 U.S.C. § 41104(d).

ANSWER: Allegation 65 constitutes an assertion of law as to which no answer is required. To the extent that an answer is required, Respondents deny the allegations of Allegation 65.

66. Issuing such invoices, without proper information, is a violation of 46 U.S.C. § 41104(a)(15).

ANSWER: Allegation 66 constitutes both an assertion of law as to which no answer is required and a hypothetical to which no answer is possible. To the extent that an answer is required, Respondents deny the allegations of Allegation 66.

67. In addition to other penalties and remedies, the issuance of such invoices that would trigger 46 U.S.C. § 41104(f), which provides that “[f]ailure to include the information required under subsection (d) of an invoice with any demurrage or detention charge shall eliminate any obligation of the charged party to pay the applicable charge.”

ANSWER: Allegation 67 also constitutes an assertion of law as to which no answer is required and a hypothetical to which no answer is possible or required. To the extent that an answer is required, Respondents deny the allegations of Allegation 67.

68. Complainant repeats and realleges each and every allegation above as if fully set forth herein.

ANSWER: Respondents repeat and reallege each and every response to each Allegation above as if fully set forth herein.

69. As amended by OSRA, 46 U.S.C. § 41104(a)(14) provides that a “common carrier, either alone or in conjunction with any other person, directly or indirectly, shall not--...assess any party for a charge that is inconsistent or does not comply with all applicable provisions and regulations, including subsection (c) of section 41102 or part 545 of title 46, Code of Federal Regulations (or successor regulations).”

ANSWER: Allegation 69 constitutes an assertion of law as to which no answer is required. The text of 46 U.S.C. § 41104(a)(14) as it exists is the best evidence of what that section provides.

70. As alleged in each of the Counts above, OOCL’s practices and actions in connection with assessment of demurrage and detention charges after the effective date of OSRA under through bills of lading also violate 46 U.S.C. § 41104(a)(14).

ANSWER: Allegation 70 constitutes both an assertion of law as to which no answer is required and a hypothetical to which no answer is possible or required. To the extent that an answer is required, Respondents deny the allegations of Allegation 70.

71. Complainant repeats and realleges each and every allegation above as if fully set forth herein.

ANSWER: Respondents repeat and reallege each and every response to each Allegation above as if fully set forth herein.

72. Section 41102(c) prohibits a common carrier or marine terminal operator from failing to “establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.”

ANSWER: Allegation 72 constitutes an assertion of law as to which no answer is required. The text of 46 U.S.C. § 41102(c) is the best evidence of what that section provides.

73. In addition to the elements set forth in Count I, each of which is applicable here and incorporated herein, Section 41102(c) applies equally to dispute resolution practices, policies and procedures (or lack thereof) in connection with assessment, collection, and dispute resolution of charges relating to or connected with receiving, handling, storing, or delivering property.

ANSWER: Allegation 73 constitutes both an assertion of law as to which no answer is required and a hypothetical to which no answer is possible or required. To the extent that an answer is required, Respondents deny the allegations of Allegation 73.

74. OOCL's dispute resolution practices (or lack thereof), including, but not limited to, Respondent's failures to meaningfully engage in commitments to address disputed charges and OOCL's apparent lack of any workable practice, policy or procedure to meaningfully evaluate disputed charges, both throughout the relevant time period of this Complaint, and between October 2022 to date, as set forth in Section V above, constitute violations of Section 41102(c).

ANSWER: Allegation 74 constitutes a conclusion of law to which no answer is necessary. To the extent that an answer is required, Respondents deny the allegations of Allegation 74. Respondents notes that this Allegation violates the confidentiality of the settlement negotiations, so should be struck as improper in any event.

75. OOCL's foregoing lack of just and reasonable dispute resolution practices was and continues to be a proximate cause of injury and damages to SEA.

ANSWER: Respondents deny the allegations of Allegation 75 and specifically deny either that they lack just and reasonable dispute resolution practices (which SEA never used) or that any actions or omissions of Respondents were the proximate cause of any alleged injury.

76. As a result of OOCL's violations of the Shipping Act, Complainant has sustained serious and substantial injuries and monetary damages, including being forced to pay detention and demurrage charges for which it was not responsible, and other damages. OOCL's unreasonable and unlawful conduct is continuing, and SEA continues to sustain injury and damages.

ANSWER: Respondents deny the allegations of Allegation 76 and specifically deny that they violated the Shipping Act, that SEA sustained or continues to sustain injury as a result of any acts or omissions of Respondents, and that any acts or omissions are continuing.

77. Damages to SEA caused by OOCL's Shipping Act violations as detailed above in this Complaint for which SEA seeks reparations include:

a. Excessive and unlawful OOCL demurrage, detention and associated charges totaling approximately \$12.5 million;

b. Additional costs borne by Samsung such as additional personnel hired to handle the increase in transportation costs on OOCL moves and costs of leasing off-dock container yard space totaling approximately \$1.3 million;

c. Lost revenues of approximately \$500,000; and

d. Not less than \$2 million in prejudgment interest.

ANSWER: Respondents deny the allegations of Allegation 77.

78. SEA has unsuccessfully attempted to resolve this matter with Respondent prior to filing this Verified Complaint. Those efforts took place beginning October 2022 and running through March 2024. Considering statements made by OOCL and its counsel and consequent noncooperation in resolving this matter, SEA did not seek to use the FMC's alternative dispute resolution process prior to filing this Verified Complaint.

ANSWER: Respondents deny the allegations of Allegation 78, except that they admit that the minimal settlement efforts undertaken by SEA were ultimately unsuccessful, despite OOCL's good faith (and much larger) efforts. Respondents lack information sufficient to admit or deny whether or why SEA decided not to use the FMC's ADR processes, despite the fact that OOCL agreed to do so. Respondents note that this Allegation violates the confidentiality of the settlement negotiations, so should be struck as improper in any event.

79. For the same reasons stated above, Complainant has not had any preliminary consultations with the FMC's Dispute Resolution Specialist regarding the availability of alternative dispute resolution under the FMC's ADR program (46 C.F.R. § 502.64) with respect to this matter.

ANSWER: Respondents lack information sufficient to admit or deny whether or why SEA decided not to have any preliminary consultations with the FMC's Dispute Resolution Specialist.

80. Notwithstanding the foregoing, Complainant remains amenable to engaging in alternative dispute resolution in connection with this matter, should Respondents be willing to do so in good faith.

ANSWER: Allegation 80 contains no factual allegations with respect to Respondents and hence requires no response.

81. Complainant requests a hearing on this matter, and further requests that the hearing be held at the Federal Maritime Commission, 800 N. Capitol Street, NW, Washington, D.C. 20573-0001.

ANSWER: Respondents agree that a hearing in this matter, including cross examination, is necessary in this matter, and further state that the hearing be held at the Federal Maritime Commission, 800 N. Capitol Street, NW, Washington, D.C. 20573-0001.

AFFIRMATIVE DEFENSES

1. The Complaint represents a part of an unjust or unreasonable method by which to obtain ocean transportation at less than the applicable rates, in violation of the Shipping Act.
2. The FMC lacks subject matter jurisdiction over any claim relating to charges imposed by railroads, ocean terminals, or other third parties.
3. The FMC lacks subject matter jurisdiction over the claim asserted in Count I of the Complaint (U.S.C. § 41102(c)), as it is a claim for breach of contract, for which exclusive jurisdiction rests in the federal courts under 28 U.S.C. § 1333, and the Shipping Act.
4. Complainant has failed to plead essential elements of a claim under 46 U.S.C. Section 41102(c).
5. The Complaint fails to state a claim under 46 U.S.C. § 41102(d).
6. The Complaint fails to plead essential elements of a claim under 46 U.S.C. § 41102(d).
7. The Complaint fails to state a claim under 46 U.S.C. § 41104(a)(14).
8. The Complaint fails to state a claim under 46 U.S.C. § 41104(a)(3).
9. The Complaint fails to state a claim under 46 U.S.C. § 41104(a)(10).
10. The Complaint fails to plead essential elements of a claim under 46 U.S.C. § 41104(a)(10).
11. The Complaint fails to state a claim under 46 U.S.C. § 41104(a)(14) for which the Federal Maritime Commission has authority to award reparations.
12. The Complaint fails to state a claim under 46 U.S.C. § 41104(a)(15) for which the Federal Maritime Commission has authority to award reparations.
13. The FMC lacks authority to adjudicate this matter, as it would violate the Seventh Amendment.
14. The FMC lacks authority to adjudicate this matter, as it would violate the Judiciary Act of 1789.
15. The FMC lacks authority to adjudicate this matter to the extent that Complainant's claims sound in contract.
16. Complainant waived all of its claims due to its failure to use the procedures required by the FMC and maintained by OOCL for addressing disputes about detention, demurrage, and per diem charges.
17. Because OOCL maintained procedures for disputing detention, demurrage, and per diem charges and Complainant willfully declined to use them, OOCL's actions are *per se* reasonable.
18. Any harm experienced by Complainant was as a result of its own failures, acts or omissions.
19. Complainant has failed to state a claim for which relief can be granted, including for reasons of vagueness.
20. Complainant has not suffered any actual injury or damage as a result of Respondent's alleged violations of the Shipping Act, which are denied.

21. Complainant acted as a volunteer in making payments to non-parties without determining the validity of those claims before making payment.
22. Any delay in the return of empty equipment that resulted in charges to the Complainant was caused by Complainants or its agents and was the responsibility of Complainant or its agents.
23. To the extent that the Claims involve charges from entities other than OOCL, such as railroads, terminal operators, truckers, and storage facilities, OOCL cannot be held responsible.

COUNTERCLAIM

By this Answer and pursuant to the Commission's Rules at 46 U.S.C. 502.62(b)(4), Respondents allege the following Counterclaims against Complainant Samsung Electronics America, Inc. ("SEA") and states as follows:

I. FACTUAL ALLEGATIONS

A. Service Contracts with Samsung and SEA

1. Samsung Electronics Company, Ltd. ("Samsung") is a corporation engaged in the global electronics business that is organized and existing under the laws of South Korea, with its principal place of business located at 120, Samsung-ro, Suwon, Kyonggi-do, South Korea.

2. In 2021 and 2022, Samsung invited OOCL to submit proposals for the transport of Samsung's cargoes and transmitted documents to OOCL entitled 2021 RFQ for Ocean Freight and 2022 RFQ for Ocean Freight (collectively, the "Samsung RFQs") which described the terms and conditions which OOCL was required to meet in the event Samsung accepted OOCL's proposals.

3. Both of the Samsung RFQs provided under paragraph 6, captioned "Customer Service", as follows:

"Preferred Trucker & Delivery

- Carriers are required to provide local delivery service with consignee's preferred trucker if any. (CNT = Customer Nominated Trucker)"

4. Following Samsung's acceptance of bids submitted by OOCL in response to the Samsung RFQs, Samsung executed the Service Contracts which were filed with Federal Maritime Commission.

5. Paragraph 2 of the Service Contracts, captioned "SHIPPER AND AFFILIATES CLAUSES", states that the Service Contracts shall be binding between the Carrier (OOCL) and the Shipper (Samsung), and the Affiliates of the Shipper that are listed in Appendix B of the Service Contracts.

6. Appendix B to each of the Service Contracts lists the Complainant, SEA, as an Affiliate of Samsung, in addition to other entities.

7. Pursuant to Paragraph 2 of the Service Contracts, Samsung represented and warranted that each of the Affiliates listed in Appendix B was an entity controlled by Samsung, and that the person executing the Service Contracts had the authority to enter into the Service Contracts on behalf of Samsung and the Affiliates listed in Appendix B.

8. Pursuant to the Service Contracts, Samsung instructed OOCL to issue non-negotiable bills of lading or seaway bills showing SEA as consignee.

9. SEA was one of Samsung's named Affiliates that Samsung instructed OOCL to reflect as consignee on the bills of lading OOCL issued to Samsung.

10. Pursuant to service under the Service Contracts, Samsung instructed OOCL to issue invoices to SEA for charges incurred in the United States.

11. Pursuant to the representation and warranties made by Samsung in the Service Contracts, the Complainant, SEA, is an entity that is controlled by Samsung.

12. Pursuant to the representation and warranties made by Samsung in the Service Contracts, SEA is bound by the terms and conditions of the Service Contracts.

13. Further, pursuant to Paragraph 16 of the Service Contracts, Samsung and SEA agreed that they shall be jointly and severally liable for performance of the terms and conditions of the Service Contracts, including the payment of all rates and charges.

14. Pursuant to Paragraph 1 of the Service Contracts, Samsung agreed that all cargoes moving under the Service Contracts shall be subject to the tariffs listed in Appendix A of each Service Contract.

15. Pursuant to the representation and warranties made by Samsung in the Service Contracts, the Complainant, SEA as an Affiliate of Samsung, had also agreed that all cargoes moving under the Service Contracts shall be subject to the tariffs listed in Appendix A of each of the Service Contracts.

16. Appendix A of the Service Contracts incorporated by reference Tariff Rule OOLL-100.

17. Tariff Rule OOLL-100 Rule Number: T-26, published on January 2, 2020 and effective on February 1, 2020, states the following with respect to Customer Nominated Truckers (“CNT”):

“...when a customer nominated trucker (CNT) is used for store door delivery for inbound shipment (or door pick up for outbound shipment) at the request of Shipper (or any other entity with an interest in the cargo), it is hereby agreed that the following terms and conditions shall apply:

- Carrier will act as agent of Shipper for purposes of arranging the trucking, and the contract of carriage for inland door delivery transportation shall be deemed to be between the trucker and Shipper or the owner of the cargo. The CNT will be employed by the Shipper or the owner of the cargo, not Carrier, even though Carrier's rates are inclusive of door delivery. Carrier shall pay the CNT only as agent for Shipper.”

B. SEA’s Claim for Reimbursement of Demurrage, Detention & Other Charges

18. On October 7, 2022, SEA transmitted a letter to OOCL (USA) Inc., we assume as agent for OOCL, captioned “NOTICE OF DEMAND FOR ACTION” (“Demand”), in which it asserted, *inter alia*, that it had been coerced to pay numerous invoices assessing “demurrage, detention, handling and/or storage fees” (“Fees”) since 2020 in the amount of USD \$11 million “based on available data...as of Q1 2022” and demanded an immediate refund of these Fees, plus all Fees it pays in the future, on the grounds that the shipments moved under “store-door” terms and that “OOCL was responsible for obtaining all necessary resources therefor under the store-door terms.”

19. SEA’s October 7, 2022 Demand did not identify the bill of lading numbers, container numbers, booking numbers or individual charges related to the corresponding bills of lading and containers; did not produce any documents, communications or information explaining why the charges were incorrect and should be refunded, waived or reduced; and, instead, claimed that all the charges comprising the \$11 million claim were improper because SEA’s shipments moved on a “store-door” basis.

20. The Commission reviewed OOCL’s demurrage and detention dispute process (which was in place at all relevant times) pursuant to its VOCC Audit Program, and the FMC informed OOCL that the process met the Commission’s “best practices.”

21. Prior to issuance of the October 7, 2022 Demand, SEA had not contested the individual charges comprising the \$11 million claim set forth in the Demand through OOCL’s demurrage and detention dispute process which was available on OOCL’s website, although one of its Samsung affiliates did send an informal inquiry by letter dated September 6, 2022.

22. OOCL, through OOCL (USA) Inc., responded to SEA’s Demand noting that, based upon the sparse information about the claim that SEA had provided, the charges for

demurrage had been incurred because shipments had been left at the terminal past the expiration of free time while awaiting pickup by SEA's CNT (customer nominated trucker); that OOCL had issued multiple and timely notifications to SEA regarding the date of arrival, last free day and accrued demurrage charges for SEA's shipments; that OOCL had issued "long-dwelling letters" to SEA seeking to obtain its instructions with respect to these containers; and that SEA had not substantively responded to these communications.

23. As to the Demand's claim for reimbursement of detention charges, which were incurred due to SEA's failure to return empty containers prior to the expiration of free time, OOCL (USA) Inc. noted that it had not received any notices, documents or other information from SEA which described extenuating circumstances that impacted SEA's ability to timely return OOCL's containers, such as unavailability of appointments, return facility closures or other matters outside the control of SEA that would warrant mitigation of the detention charges that were assessed.

24. Despite SEA's failure to challenge invoices in a timely manner through OOCL's dispute resolution process, OOCL (USA) Inc. advised SEA that OOCL would nevertheless review any documentation or information SEA provided which would "cast light on any conditions that prevailed at the time these charges were incurred...and reach a mutually satisfactory conclusion."

25. Other than a one page PDF which summarized its claims that was attached to the Demand dated October 7, 2022, none of the documents or information requested by OOCL (USA) Inc. to enable it to identify the shipments which comprised SEA's claim or further evaluate the circumstances which gave rise to the individual demurrage and detention charges that were assessed, has been provided by SEA.

26. Following further exchanges of letters between SEA and OOCL/OOCL (USA) Inc. and their respective counsel, and a meeting between the parties at SEA's offices in New Jersey, the Complaint which is the subject of this proceeding was filed by SEA.

II. VIOLATION OF THE SHIPPING ACT BY SEA

VIOLATION OF 46 U.S.C. § 41102(a)

27. Section 41102(a) of the Shipping Act, 46 U.S.C. § 41102(a), prohibits a person from "knowingly and willfully, directly or indirectly, by means of false billing, false classification, false weighing, false report of weight, false measurement, or any other unjust or unfair device or means, obtain or attempt to obtain ocean transportation for property at less than the rates or charges that would otherwise apply."

28. During Samsung's negotiation of the Service Contracts with OOCL, Samsung required that all trucking of cargo transported by OOCL under the Service Contracts be performed by CNTs designated by SEA.

29. Pursuant to the terms and conditions of Tariff Rule OOLL-100 Rule Number: T-26, OOCL acted as an agent for Samsung for purposes of arranging the trucking of containerized shipments transported by OOCL under the Service Contracts.

30. Pursuant to the terms and conditions of Tariff Rule OOLL-100 Rule Number: T-26, the contract of carriage for inland door delivery of shipments transported by OOCL under the Service Contracts was deemed to be between the Samsung Customer Nominated Trucker and SEA as the owner of the cargo.

31. Pursuant to the terms and conditions of Tariff Rule OOLL-100 Rule Number: T-26, the CNTs were employed by SEA as the owner of the cargo, and not by OOCL, and OOCL's

sole responsibility was the payment to the CNT of freight charges that were included in the rates which it had negotiated with Samsung for its door delivery service under the Service Contracts.

32. Pursuant to the terms and conditions of Tariff Rule OOLL-100 Rule Number: T-26, OOCL paid the CNTs designated by SEA only as agent for the Shipper, Samsung.

33. Except for its obligation to pay CNTs the freight charges agreed upon by OOCL for the inland delivery of containerized shipments transported under the Service Contracts, OOCL was not responsible for the failure to perform by the CNTs, nor was OOCL responsible for failures to perform by SEA, as Samsung's Affiliate, including but not limited to acts or omissions by SEA which resulted in SEA's incurring of detention, demurrage and storage charges at ocean terminals, rail terminals, or other facilities.

34. Charges assessed to SEA for demurrage were incurred because Samsung's shipments to SEA were left at marine terminals past the expiration of free time while awaiting pickup by the CNTs designated by SEA.

35. SEA ignored multiple and timely notifications sent by OOCL to SEA regarding the date of arrival, last free day and accrued demurrage charges for SEA's shipments.

36. SEA was slow to respond to the numerous "long-dwelling letters" OOCL sent to SEA seeking to obtain its instructions with respect to containers which, after going into demurrage, continued to remain at the terminals.

37. Charges to SEA for detention were incurred due to the failure of SEA or its designated CNTs to timely return OOCL's empty containers prior to the expiration of free time and not due to any act or omission on the part of OOCL.

38. The Service Contracts provided for the assessment of demurrage, detention and related charges arising from the failure of SEA to timely take delivery of Samsung's shipments

and/or to timely return OOCL's empty containers within the extended free time periods which had been negotiated between Samsung and OOCL.

39. Upon information and belief, a substantial portion of the demurrage and detention charges assessed against SEA by OOCL were attributable to the failure of SEA's designated CNTs to perform in a timely manner. Under the terms of OOCL's tariff, such failure is the responsibility of SEA, not OOCL.

40. Upon information and belief, a portion of the demurrage and detention charges assessed against SEA by OOCL were attributable to SEA's mismanagement of its supply chain including failure to provide adequate warehouse facilities for the timely receipt and unloading of cargo.

41. In this proceeding, and in other proceedings before the Federal Maritime Commission, commenced by SEA against other ocean carriers, SEA is attempting to recoup the demurrage, detention and other costs that have been rightfully charged to and incurred by SEA, from entities that were not legally responsible for the charges SEA incurred due to its own fault, acts and omissions.

42. In demanding refunds of charges imposed pursuant to the terms of the Service Contracts, and in demanding that OOCL waive future lawful charges, and in bringing legal proceedings against OOCL and other ocean carriers in an attempt to seek recovery of demurrage, detention and other charges which have been properly assessed to SEA by virtue of its own acts and omissions, SEA has knowingly and willfully engaged in a unjust or unfair device or means to obtain or attempt to obtain ocean transportation for property at less than the rates or charges that would otherwise apply, all in violation of 46 U.S.C. §41102(a) of the Shipping Act.

III. CAUSATION AND INJURY TO RESPONDENTS / COUNTER-COMPLAINANTS

43. As a result of SEA's violation of 46 U.S.C. § 41102(a), OOCL has been exposed to damages and legal costs as a result of the proceeding filed against OOCL, and SEA is liable to OOCL for all damages, including legal costs, that OOCL may incur.

IV. PRAYER FOR RELIEF

WHEREFORE, the Respondents / Counterclaimants, Orient Overseas Container Line Ltd. and OOCL (Europe) Ltd., respectfully request that:

- 1) The Complaint against the Respondents be dismissed;
- 2) The Complainant, SEA, be required to answer the charges in this Counterclaim, and that after the Commission's investigation and hearing, that the Commission shall issue an order directing that the Complainant, SEA, to cease and desist from violating 46 U.S.C. § 41102 (a) of the Shipping Act, specifically from engaging in the unjust or unfair device or means it has employed to obtain or attempt to obtain ocean transportation for property at less than the rates or charges that would otherwise apply;
- 3) SEA be required to pay for all damages incurred by OOCL as a result of the Complaint, including its attorneys' fees and costs pursuant to 46 U.S.C. § 41305; and,
- 4) OOCL be provided such other and further relief that the FMC deems just and proper.

DATED: 12 December, 2024

Respectfully submitted,

Eric. C. Jeffrey

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Counsel for Respondents, Orient Overseas Container Line Limited and OOCL (Europe) Limited

VERIFICATION

I declare under penalty of perjury under the laws of the United States of America that the foregoing **Answer and Counter-claim** are true and correct.

Signed:



Name

Gavin Murdoch

Title

VP - Risk & Compliance

Date

December 12, 2024